

Even though teens' spending power is significant, compared to the previous year they are spending less. There are several factors that contribute to this. Parents are worried about unemployment, so they're not spreading the wealth around like they used to. And historically high gas prices mean that teens who drive are watching an unprecedented amount of their budget flowing directly into their gas tanks. Even though sixteen is legally the age in which a person is allowed to start working, teens younger than that are participating in some kind of work. Half of all fourteen year olds work in freelance jobs such as babysitting or doing yard work. By the time they reach fifteen, nearly two-thirds will be working.

Because of the high cost of a college education, many teens continue to work part-time jobs during high school or full-time jobs during the summer to help pay for their tuitions. Once they get to college, they keep on earning money, whether it's through a work-study job or a part-time job at a local business.

The transition to full-time employment is often made upon graduation. As you acquire more education and experience, you will find your income will increase accordingly. Workers with a bachelor's, master's, and doctoral or professional degree usually have higher incomes than do workers with less education. According to the U.S. Bureau of Labor Statistics, a college graduate makes 43 percent more per year than a person who doesn't have a high school diploma.

This chapter will examine the different choices you will confront when having to make employment related decisions. Your future earning potential can be seriously affected by unwise actions, such as:

- Deciding not to continue your education

